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Recycling with the Best

Weekly Ship Recycling Report

04 November 2023 - 10 November 2023

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Highlights of the Week

We extend our sincerest wishes to our esteemed readers for a happy and prosperous **Diwali**, a festival symbolizing the vibrant celebration of lights. The importance of Diwali lies in its symbolic representation of the triumph of light over darkness.

During the course of this week, the ship recycling destinations saw an assortment of performances. The market in India witnessed a decline initially, but towards the end of the week, there was a little improvement. However, it is important to note that this improvement is expected to be temporary in nature. Bangladesh is facing substantial challenges related to its balance of payments, particularly in relation to its LC issues. This has become a pressing concern, as the lack of USD has intensified. Consequently, only a limited number of purchasers in Bangladesh are able to effectively navigate this situation. In Pakistan, prospective buyers are inclined to exercise patience in anticipation of a reduction in currency fluctuations and the attainment of economic stability. Turkiye seems to be witnessing a modest improvement, with a narrow margin of about 3 to 4 USD.

The price of oil is anticipated to see a decline for the third consecutive week due to mounting apprehensions over worldwide demand and regional geopolitical tensions. The recent decline in prices is seen as arbitrary since there are indications that prices may stabilize due to decreased supply and probable constraints in the Persian Gulf region.

Exchange Rates:

USD / INR ₹

This Week	:	83.38
Previous Week	:	83.25
Lost	:	0.13

USD / BDT ৳

This Week	:	110.33
Previous Week	:	110.79
Gained	:	0.46

USD / PKR Rs

This Week	:	283.10
Previous Week	:	280.79
Lost	:	2.31

USD / TRY ₺

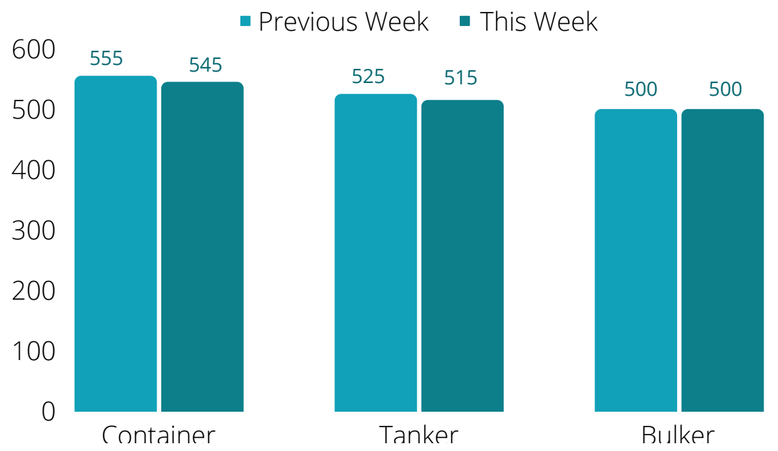
This Week	:	28.55
Previous Week	:	28.40
Lost	:	0.15

India

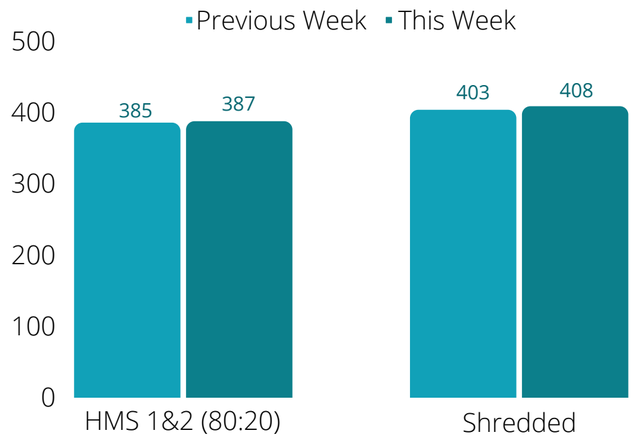
There exists a modest improvement within this market; however, it is of a temporary nature.

- The Indian market has seen a decline, however, there has been a little improvement towards the end of the week, with prices showing a modest increase.
- According to those in the industry, the current situation is characterized by its temporary nature and is unlikely to endure in a sustained manner.
- India will remain the leading export destination for coking coal in the near future, according to the Indian Steel Association (ISA). Additionally, it is worth noting that the price surge is having a particularly severe impact on the domestic steel sector.

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

12 November to 19 November 2023
25 November to 30 November 2023
01 December to 02 December 2023

Bangladesh

The market appears volatile with LC concerns becoming a sore spot.

- The local market, which experienced some volatility last week, has since subsided, with negative prices prevailing for the duration of the week.
- LCs are issued with value date payments deferred by two days, and exchange rates are causing significant problems. This reveals that the bank is in a particularly dire situation.
- It is highly recommended that sellers refrain from selling assets without doing thorough due diligence on prospective buyers.
- However, there is a good development reported in the media about the increase in the number of openings and settlements of import LCs in Bangladesh during the month of October. This growth may be attributed to the upward trend in remittance inflows and the seasonal demand for fertilizers.

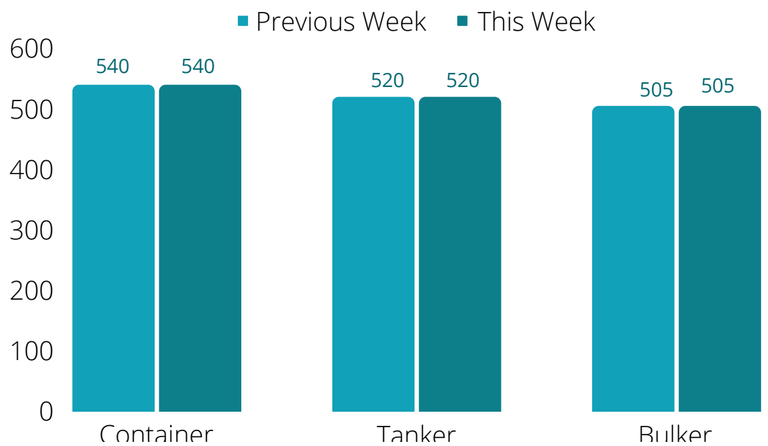
Beaching Dates

12 November to 15 November 2023

25 November to 28 November 2023

12 December to 15 December 2023

Price for Recycling Ships in Bangladesh



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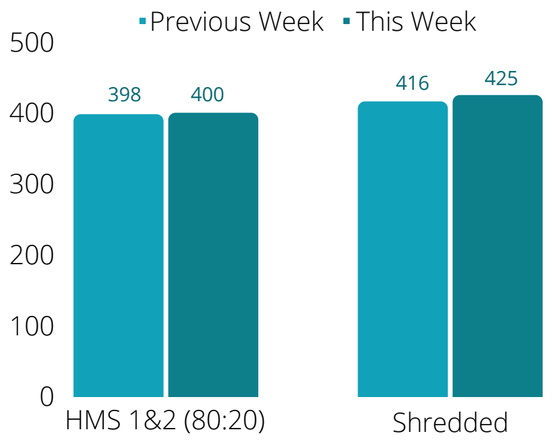


Pakistan

LC issues continue to persist, and buyers in this market are awaiting clarity.

- The lingering concerns regarding LC remain relevant in the present situation. Local recyclers are attempting to acquire tonnage at the 500 level, but banks are once again hesitant to open LC, as they were a month ago. Already, one bank has announced that it will open LCs for January ship deliveries and payments.

- Currently, buyers exhibit a preference for deferring their purchases until the month of January, with the intention of assessing the prevailing exchange rate and the overall state of the economy.

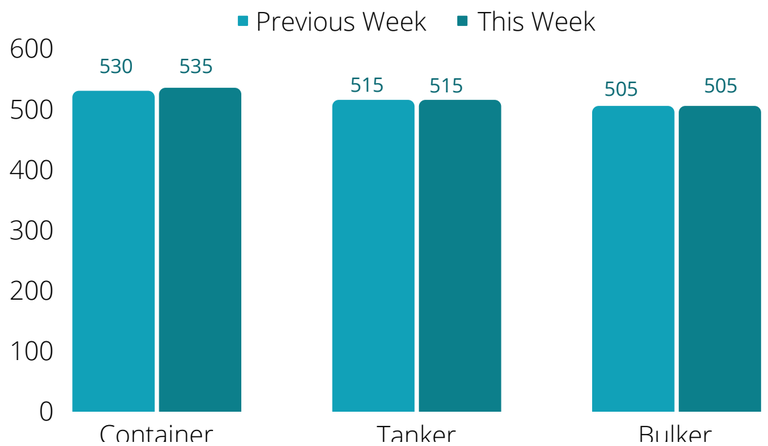
- Local markets are experiencing improvement amid a rebar shortage caused by the closure of units in Lahore caused by smog.

- The value of the PKR is once again depreciating against the dollar. The IMF delegation is presently here in Pakistan to conduct a comprehensive assessment of the $3 billion financial assistance program.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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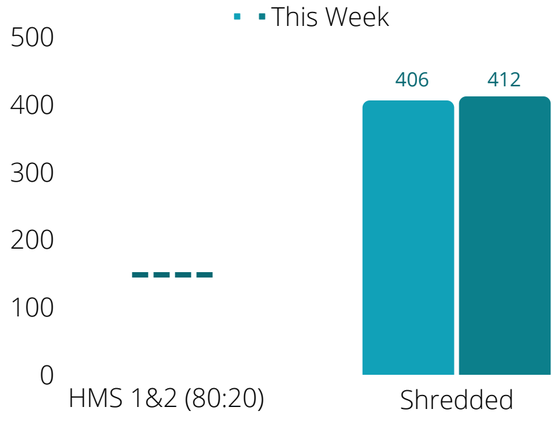


Türkiye

The current state of the market exhibits a modest improvement in the present scenario.

- The market has exhibited a marginal improvement, albeit not significantly, with a fluctuation of approximately 3-4 USD.

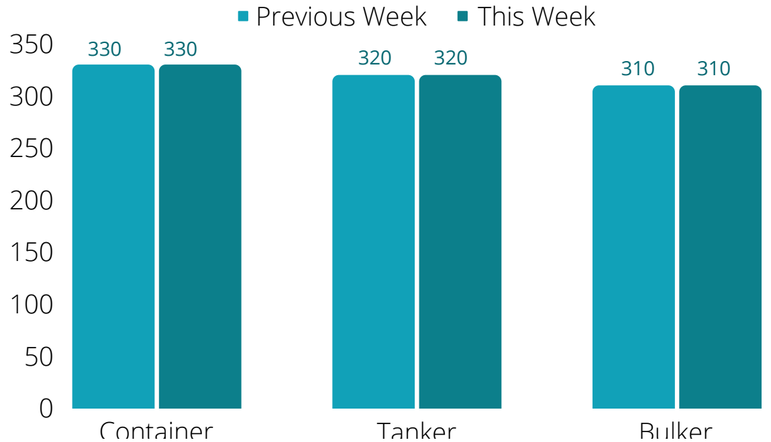
- The unemployment rate in Turkey declined for the sixth consecutive month in September, reaching a level of 9.1%. This figure is the lowest level seen since the year 2014.

- The General Directorate of Imports of the Ministry of Commerce in Turkey has commenced a safeguard inquiry pertaining to the importation of steel wire rods. The Turkish Steel Producers Association filed the petition for the initiation of this safeguards examination to assess the potential impact of the surge in steel wire rod imports on the local sector, namely in terms of inflicting or posing a significant danger of severe harm.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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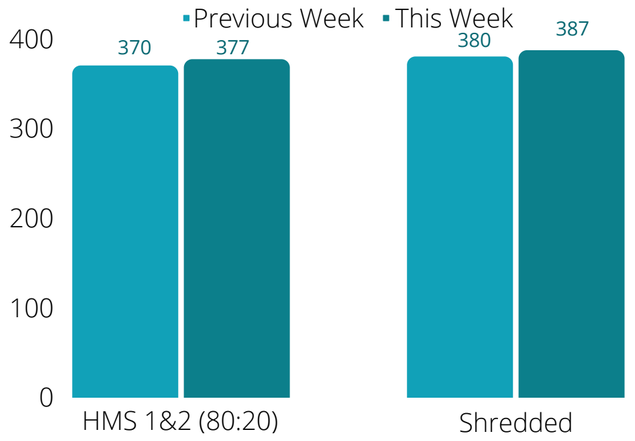
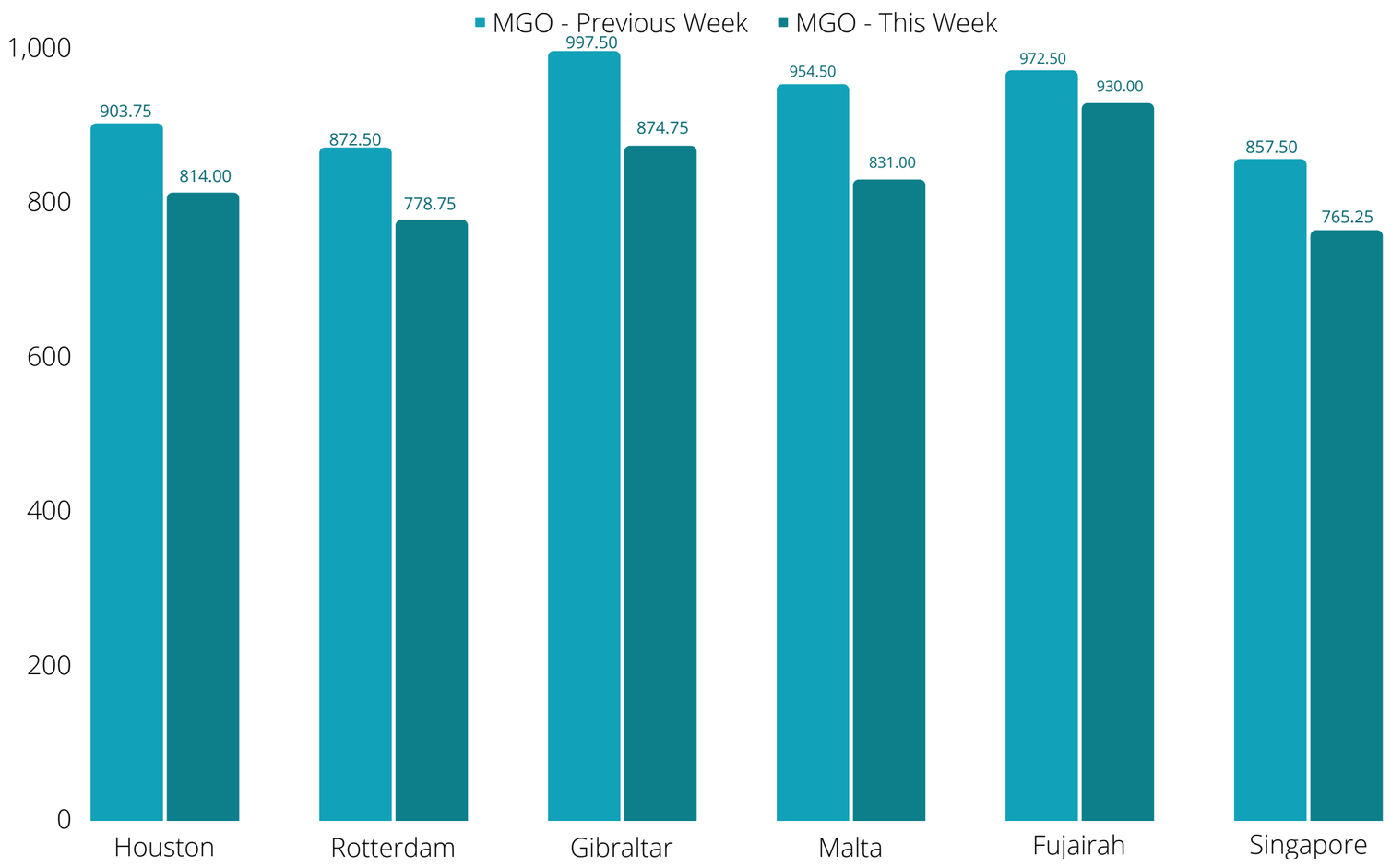


Bunker Prices at Port



Brent Crude

This Week	: 80.38
Previous Week	: 87.19
Movement	: - 6.81

WTI Crude

This Week	: 76.06
Previous Week	: 83.00
Movement	: - 6.94

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
BONTRUP MALDIVES	MPP	8308147	1984	SOUTH KOREA	10,993	DELIVERED	ALANG, INDIA (HKC RECYCLING)	547
CMA CGM TANGER	CONTAINER	9259836	2003	CHINA	5,245	DELIVERED	ALIAGA, TURKEY	UNDISCLOSED
GAS DOLLART	LPG TANKER	8922292	1990	NETHERLANDS	2,491	DELIVERED	ALANG, INDIA	700
WU YANG GODDESS	BULKER	9115004	1995	JAPAN	7,481	AS-IS	CHINA	480 (500 MT ROB)
MSC CHIARA	CONTAINER	8420892	1987	FRANCE	14,305	DELIVERED	ALANG, INDIA	UNDISCLOSED

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